

SENATE BILL 2598

By Southerland

AN ACT to amend Tennessee Code Annotated, Title 49,
relative to education freedom scholarships.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-6-3502(7), is amended by deleting the subdivision and substituting:

(7) "Recipient" means an eligible student who enrolls in a private school, or out-of-district public school, and receives a scholarship for a given school year; and

SECTION 2. Tennessee Code Annotated, Section 49-6-3504(d), is amended by deleting the subsection and substituting:

(d) In order to receive a scholarship under this part, an eligible student, or the eligible student's parent, must:

(1) Submit a completed scholarship application to the department;

(2) Ensure the provision of an education for the eligible student that satisfies the compulsory school attendance requirement provided in § 49-6-3001(c)(1) through enrollment in a private school or an out-of-district public school; and

(3) Not enroll the eligible student in a kindergarten through grade twelve (K-12) public school that the eligible student is zoned to attend in any school year for which the eligible student receives a scholarship.

SECTION 3. Tennessee Code Annotated, Section 49-6-3505(a), is amended by deleting the subsection and substituting:

(a) The scholarship amount for a recipient who enrolls in a private school is equal to the base funding amount, as defined in § 49-3-104(2), and is solely state

funded. The scholarship amount for a recipient who enrolls in an out-of-district public school is equal to tuition and fees charged pursuant to § 49-6-3003 by the out-of-district public school in which the student is enrolled, and is solely state funded.

SECTION 4. Tennessee Code Annotated, Section 49-6-3505(b), is amended by deleting "available to the recipient" and substituting "available to a recipient who is enrolled in a private school".

SECTION 5. Tennessee Code Annotated, Section 49-6-3505(c)(1), is amended by deleting the subdivision and substituting:

(1) Tuition and fees required by the private school, or the out-of-district public school pursuant to § 49-6-3003, in which the recipient is enrolled;

SECTION 6. Tennessee Code Annotated, Section 49-6-3506(b)(2), is amended by deleting the subdivision and substituting:

(2) The recipient's enrollment in the kindergarten through grade twelve (K-12) public school that the recipient is zoned to attend;

SECTION 7. Tennessee Code Annotated, Section 49-6-3507(a)(1), is amended by adding "who are enrolled in a private school" after "recipients".

SECTION 8. Tennessee Code Annotated, Section 49-6-3507(a), is amended by adding the following as a new subdivision:

(3) As a condition of receiving a scholarship pursuant to this part, a recipient enrolled in an out-of-district public school must be annually administered the assessments required for public school students who are enrolled in the same grade level or course as the recipient. The out-of-district public school that enrolls a recipient must administer the tests required pursuant to this subdivision (a)(3).

SECTION 9. Tennessee Code Annotated, Section 49-6-3507(c), is amended by deleting the subsection and substituting:

(c) By June 30, 2026, and by each June 30 thereafter, each private school and out-of-district public school that enrolls a recipient shall provide the results of the tests administered to recipients pursuant to this section to the office of research and education accountability in the office of the comptroller of the treasury. Each private school and out-of-district public school may provide the test results required pursuant to this section using aggregated, deidentified data; provided, that the data must be provided on a form developed by the office of research and education accountability and in a manner that allows the office of research and education accountability to group and analyze the results by recipient grade level, household income level, sex, and race. The office of research and education accountability shall submit an annual report to the education committee of the senate and to the committee of the house of representatives having jurisdiction over elementary and secondary education detailing the results of the tests administered to recipients pursuant to this section.

SECTION 10. Tennessee Code Annotated, Section 49-6-3509(b), is amended by adding "who is enrolled in a private school" after "A recipient" and by adding "who are enrolled in a private school" after "Recipients".

SECTION 11. This act takes effect July 1, 2026, the public welfare requiring it.